fluctuation risk, pay domestic taxes and/or filing tax return, obtain or maintain an investment identity etc. These investors would rather look for derivatives alternatives to gain a cost-effective exposure to the relevant market.

- Besides reducing transactions costs, PNs also provide customized tools to manage risk, lower financing costs and enhance portfolio yields. For instance, PNs can also be designed for longer maturities than are generally available for exchange-traded derivative.
- PNs also offer an important *hedging tool* to a foreign investor already registered as an FII. For example; an FII may wish to obtain 'long' exposure to a particular Indian security. The FII can hedge the downside exposure to the listed security, already purchased by purchasing a 'cash settled put option'. Although the Indian exchanges offer options contract, these contracts have a maximum life period of three months, beyond which the FII shall have to rollover its positions i.e. purchase a fresh option contract. Alternatively, it can avail of a PN which can be customized to cater to its hedging requirements.
- Potential investors who would like to take direct Indian exposure in future, may make initial investments through the PN route so as to get a flavor of future anticipated returns.
- Further, trading in ODI/PNs gives an opportunity to offshore entities to have a commission based business model. This route provides ease to subscribers as it bypasses the direct route which may be resource heavy for them.
- And ***lastly***, it was a highly 'safe and lucrative route' to invest the 'unaccounted', 'even illegal' money into the Indian security market for huge profits (during the booming market). Experts even imagined that it may be allowing the 'black money' of India (stashed away from India through 'hawala' kind of illegal channels and deposited in the tax havens of the world in 'Swiss Bank' kind of financial institutions) to get invested back in the market! Again, 'terrorist organisations' might have been using this route, too.

PNs are ***thus*** issued, to provide access to a set of foreign investors who intend to reduce their overall costs and the time involved in making